

Philippines: EU trade agreement will help attract supply chain investment

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The Philippines-EU FTA will diversify trade ties and support Manila's push to attract more investment and supply chains.|||||||

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Philippines

By Peter Mumford

Short-term trajectory:

Long-term trajectory:

EU trade deal will likely be signed in 2027. Following a phone call on 22 September, President Ferdinand Marcos and European Commission President Ursula von der Leyen announced the "substantial conclusion" of the Philippines-EU free trade agreement (FTA).

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Details will be released once the deal has been finalized and signed. The two sides restarted negotiations in 2024 after a long hiatus during former president Rodrigo Duterte's administration, when Manila's ties with Europe deteriorated.

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The Philippines will become the fourth Southeast Asian country to secure an EU FTA, after Singapore, Vietnam, and Indonesia. The agreement will mark the clearest economic outcome so far of Marcos's pivot to the US and the West; other trade diversification efforts include the expected near-term conclusion of a trade deal with Canada and Manila's bid to join the Comprehensive and Progressive Agreement for Trans-Pacific Partnership.

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The Philippines trails regional peers in attracting FDI and supply chains, although it has a strong services sector and robust remittance flows. Manila hopes the EU trade deal and other agreements will bolster the Philippines' appeal to foreign investors, but the country will need to move faster to address key deterrents to investment, such as high electricity costs and weak infrastructure.

Thailand/Vietnam

By Melinda Hoe

Thailand and Vietnam make progress but US trade deals remain elusive. Thai Prime Minister Anutin Charnvirakul and Communist Party of Vietnam General Secretary To Lam are in New York for the UN General Assembly High-level Week. Neither leader announced the conclusion of an Agreement on Reciprocal Trade (ART) with the US nor met President Donald Trump, but both appear confident that a deal is close.

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Anutin is optimistic that Thailand will finalize an agreement despite the US adding another condition to the deal (Anutin did not specify further). He also stated that Thailand has already secured its target tariff rate but would continue pressing for a lower level. During the New York trip, Anutin met executives from Microsoft and the Pacific Investment Management Company, among others, to encourage investment in Thailand.

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Lam also touted momentum in the negotiations, saying a deal was "very close." Hanoi has moved slowly as exports have continued to climb despite the tariff threat. Vietnam posted the world's largest trade surplus with the US, at \$114 billion, in the first half of 2026, overtaking China and Mexico. Separately, Hanoi faces a standalone Section 301 investigation into intellectual property rights.

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Lam said Hanoi wanted to increase high-tech imports of US aircraft, nuclear power equipment, and road and railway infrastructure. Reports indicate that Vietnamese and US businesses will announce 29 agreements on 23 September. The agreements reportedly include cooperation deals between US energy companies Murphy Oil and Chevron and state-owned Petrovietnam, as well as aircraft leasing agreements involving Vietjet, Boeing, and Airbus.

Indonesia

By Olga Letticia

Short-term trajectory:

Long-term trajectory:

Suhasil maintains state-bank fund placement and emphasizes fiscal continuity. On 14 September, President Prabowo Subianto appointed Suhasil Nazara finance minister, replacing Purbaya Yudhi Sadewa (see: New finance minister offers broad fiscal continuity , 14 September 2026). In his first week, Suhasil confirmed that the government would keep the 200 trillion rupiah (\$11.2 billion) placement of state funds at state-owned banks through July 2027. He also emphasized fiscal credibility and continuity in the broader budget framework and reaffirmed the 2026 deficit target at 2.85% of GDP.

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Retaining the bank placement indicates that Suhasil will continue to use government funds to support bank liquidity and lending, instead of quickly reversing Purbaya's policies. The key watchpoint is whether the placement translates to stronger credit growth and economic activity, particularly as the

government has encouraged banks to channel the funds into priority sectors. Another concern is whether continued state intervention will pressure banks to expand lending beyond commercial considerations or increase fiscal risks.

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Suhasil confirmed that he will keep Indonesia on its current fiscal path. That stance will reassure markets, especially amid concerns that Prabowo's spending agenda could further strain fiscal space. Rising oil prices will add pressure through subsidies and compensation costs, making the 2027 budget a key test of whether Suhasil can maintain the deficit target while accommodating Prabowo's spending priorities. Higher global oil prices are also weakening the rupiah again. Bank Indonesia decided on 23 September (as widely expected) to keep the benchmark interest rate at 5.75% as the central bank balances rupiah stability and supporting economic growth.

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In addition, Suhasil accelerated the planned e-commerce tax scheme, requiring major platforms to begin collecting income tax from domestic sellers on 1 October, one month earlier than his predecessor had planned. Suhasil also noted that Indonesia settled its remaining obligations tied to the 1997–1998 financial crisis and Bank Indonesia Liquidity Assistance program in August. Together, the moves show an effort to strengthen the government's fiscal position, which could support investor confidence as fiscal pressures rise.

New agrarian reform body expands state control over contested land. Parliament and the government have approved legislation creating the Agrarian Reform Implementation Agency (LPRA) under the president, after long-standing calls from civil society groups, including the Consortium for Agrarian Reform, for a dedicated body to implement reform and resolve persistent agrarian conflicts.

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The body will oversee agrarian reform planning, implementation, monitoring, and conflict resolution. The framework also creates priority agrarian reform areas, including land affected by agrarian disputes, abandoned land, and excessive landholding. The new body's relationship with the Agrarian Affairs and Spatial Planning Ministry remains unclear.

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Near-term impact should be limited because LPRA will not replace sectoral licensing authorities, and the legislation does not create a general mechanism to revoke existing corporate land rights. Still, land-intensive sectors, including mining, plantations, forestry, and infrastructure, could face greater government intervention where projects overlap with contested land, community claims, or areas designated for reform.

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LPRA could improve certainty by providing a stronger mechanism to resolve long-standing land disputes, but companies with contested landholdings could face redistribution, land access, or project delays depending on how disputes are resolved. Key watchpoints include the implementing regulations and how LPRA's powers will interact with existing land rights and sectoral permits.

Malaysia

By Fadli Yusoff

Short-term trajectory:

Long-term trajectory:

Najib's royal reprieve gives BN a boost. Malaysia's jailed former prime minister, Najib Razak, received a conditional royal pardon on 18 September, allowing him to serve the rest of his sentence (until August

2028) under house arrest. Authorities imprisoned the former leader of the Barisan Nasional (BN) coalition for crimes linked to the 1MDB financial scandal. The pardon requires payment of a 50 million ringgit (\$12.2 million) fine and compliance with other undisclosed conditions. He has not yet paid the fine and remains in jail as his assets are still frozen pending enforcement proceedings.

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The pardon, if fulfilled, will strengthen BN—a member of Prime Minister Anwar Ibrahim’s ruling federal coalition—ahead of the Melaka state election, which must take place by November, and federal elections expected late next year. Najib remains popular with large segments of the ethnic Malay Muslim majority, and his return to politics could help the coalition compete for those voters, especially against the ultraconservative Parti Islam Se-Malaysia (PAS).

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The key watchpoints are Najib’s ability to pay the fine (to leave jail) and the specific conditions attached to Najib’s house arrest. If he is barred from meeting supporters or communicating freely, his ability to campaign for BN will be constrained. Conversely, giving Najib greater freedom to reengage publicly would energize BN and could challenge current BN leader Zahid Hamidi’s hold on the coalition.

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For Anwar, the pardon is a political liability, especially with his progressive base, although he is distancing himself from the decision by citing royal prerogative. His Pakatan Harapan coalition campaigned in successive elections on jailing Najib and holding him accountable for 1MDB, and one senior minister has already offered his resignation in symbolic protest. Nevertheless, Najib and his family still face several pending 1MDB-related cases that Anwar can likely use as leverage over the former prime minister.

Charting ASEAN

The Philippines and Vietnam face the strongest inflationary pressure among the major ASEAN economies. The global energy shock has hit the Philippines hardest because the nation depends heavily on imported fuel and largely allows fuel prices to float. The country also has not benefited significantly from the tech boom and export growth that have supported other countries in the region. Weak growth and higher inflation are weighing on Marcos’s popularity, although protests have remained limited. In Vietnam, strong economic growth has so far eased concern about rising prices. Even so, the government will continue efforts to reduce cost-of-living pressure, including through fuel subsidies from the Petroleum Price Stabilization Fund (see: ASEAN fiscal constraints limit scope to cushion high oil prices , 22 September 2026).

Event calendar

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